

Ankush Sabharwal, CEO of CoRover

It took Ankush and his cofounders two years to launch their first customer, The Indian Railways. During this time, the founders held on to their jobs, diligently fulfilling their responsibilities while also pursuing their dreams.

Sramana Mitra: Let's go to the very beginning of your journey. Where are you from? Where were you born and raised? What kind of background?

Ankush Sabharwal: I come from a remote district in India in the extreme north – Rajouri. I was brought up there. My family moved to Jammu. I did schooling there. For Masters, I've done Software Engineering.

Sramana Mitra: Undergraduate, you did in Jammu as well?

Ankush Sabharwal: That's correct.

Sramana Mitra: Engineering college in Jammu?

Ankush Sabharwal: It's Jammu University. I did Bachelors in Computer Education. I was doing MCA. MCA is very popular in India. I got selected into a very unique program with Wipro in 2004. The program was we would be working as software engineers plus we would be studying a four-year program. It's equivalent to a MSc in Software Engineering. It was for four years.

Sramana Mitra: What years were these?

Ankush Sabharwal: 2004 to 2008.

Sramana Mitra: Then in 2008 when you finished this program, did you go back to work full-time?

Ankush Sabharwal: I got an offer from Wipro. I also got an offer from Finistra. Finistra provides software to top hundred banks in the world. I chose to join Finistra. After four and a half years in Wipro, I learned a lot, but I wanted to see a different kind of work culture. Wipro is more of a software service company. In fact, Finistra is one of our clients. I was with them for five years. With Wipro, I traveled extensively in the US. I worked in the US in Cleveland and New York.

Sramana Mitra: The expertise you were developing was in the banking domain.

Ankush Sabharwal: Right. Throughout my corporate experience, I was in the BFSI vertical. Finistra was also banking. I made a couple more switches to other companies. They were also in fintech or banking.

Sramana Mitra: What year did you leave Finistra?

Ankush Sabharwal: 2012.

Sramana Mitra: Where did you go?

Ankush Sabharwal: Altisource. Altisource is a fintech company. They provide software to service loans and mortgages. One of their products is Hubzu. It's a real estate marketplace. They also do auctions for buying and selling of homes, but their primary work was to service banks. They had a few patented workflows to identify early bankruptcy and make the right decisions at the right time.

Sramana Mitra: When did you start CoRover?

Ankush Sabharwal: I started in 2016. I was part-time in CoRover.

Sramana Mitra: We have developed a methodology based on case studies. We heard from so many entrepreneurs who have done that successfully – [bootstrapping with a paycheck](#). We actively support entrepreneurs who are trying to keep their jobs but starting a startup on the side and then gradually quit. I would like to hear more about how you did that.

Ankush Sabharwal: I know the risk has to be taken but not for the sake of it.

Sramana Mitra: Risks have to be taken, but bills have to be paid.

Ankush Sabharwal: Absolutely. I saved one-fourth of my salary for the startup. I already had around 15 to 16 years of experience. I was okay in my corporate life.

Sramana Mitra: You were in Bangalore?

Ankush Sabharwal: Yes, I was in Bangalore.

Sramana Mitra: What was the concept? What were you going to do? How did you come up with that concept?

Ankush Sabharwal: The product suites that these banks have are the same. They have savings accounts, checking accounts, and current accounts. I have not seen very innovative products from banks. The functional products are the same and the technology is also from the same provider. Still, in consumer's mind, this is the top bank. In the consumer's perception, this is number one, number two, and number three. What makes a bank or any service provider number one?

Pick an industry. Most of the products are kind of the same. Then I started believing that it's not about functional and the technical specifications that make a company number one. It's something beyond. It's about how they engage with the consumers and how they understand the needs of consumers. It was more about the engagement. It's not just that the population is

growing. The reach of consumers towards their service providers is increasing. These companies are available on all the channels.

There are so many channels. It was not practical to have so many people in the call center. It's required to some extent but not to the extent where if the use cases are increasing, you keep adding. It's probably not smart to have humans work on highly repetitive and mundane tasks. AI was talked about that time as well. AI in the virtual assistance world is coming up. Most of the virtual assistants were not working about seven to eight years ago.

The problem was replying to the consumers. Then I thought, "Let's innovate." We saw companies providing AI virtual assistants solving problems they cannot solve somehow. We did a lot of studies and found out the gaps. Now we are the youngest in this space.

Sramana Mitra: What is the gap? The online multi-channel customer support is a big field. It's been going on since the mid-90s. My husband founded one of the first companies in automated AI-driven customer support. This has been going on for a long time. In 2016, what was the state of the art? What was the gap that you identified?

Ankush Sabharwal: There were two kinds of companies. One kind was the pure tech company like IBM had Watson. If you go to their website, they say that it's easy to create chatbots, but they were not using the chatbots themselves.

Sramana Mitra: The strategy of that layer is a PaaS strategy. They give you the stack and then the application developers are supposed to develop on top of that.

Ankush Sabharwal: Absolutely. The service companies like Wipro and Infosys created these virtual assistant chatbots using one of these technologies. That was the setup. Since the technology was being developed, even open-source agents started coming. That gave a huge boost.

Sramana Mitra: There were lots of startups in this field and many have succeeded.

Ankush Sabharwal: Absolutely. 2% of the companies that should have virtual assistants have virtual assistants. Still, there is a huge opportunity. People are not able to figure out the right use case.

Sramana Mitra: Going back to 2016, there were these platform providers but there were also these other startups that had full applications. Where was the gap? What is the justification of starting CoRover at that point?

Ankush Sabharwal: There were two sets of companies. One was the platform companies and the other is the implementation companies.

Sramana Mitra: There are three sets – platform providers, the application developers, and then the pure-play companies that focus on the same way you are focusing on that problem.

Ankush Sabharwal: The third kind is like us. That's actually not the third kind. They had picked up open source and they were just building the nice UI and the nice flows. They were also more of the implementors than the actual technology developers. Underneath, they were using open source. The underlying framework was still open source.

Sramana Mitra: Is that you? Is CoRover using open source underneath? Core.ai and Yellow.ai are all open source underneath?

Ankush Sabharwal: Core.ai is a good company. I learned from them. I have less information on Core.ai. Other companies for sure.

Sramana Mitra: My point is there were other companies like you who were also were going after the same problem. We've done case studies like this. We've done Core.ai for example. You are starting out. What is your positioning? Are you going after B2C or B2B?

Ankush Sabharwal: Just before that, I'll tell you what we did. We came up with the concept of Chatbot-as-a-Service. Few companies like Core have implementation partners who use our platform and then create virtual assistants. When we started, we said it was a Chatbot-as-a-Service. You give us contract. We have our own technology. We didn't have to spend so much time in training.

Sramana Mitra: You provide the product and the service.

Ankush Sabharwal: Both. The tech was good so that we don't have to give so many utterances in the classic NLP. Google Dialog Flow says you need to give at least 15 utterances per intent. We finetuned it. Even one utterance is good enough to provide 90% accuracy.

Sramana Mitra: What types of customers did you go after?

Ankush Sabharwal: We started with travel. We need more help when we're away from home. When I'm in my city, I've got family and friends.

Sramana Mitra: Who was your first customer?

Ankush Sabharwal: Our first meaningful customer was IRCTC – Indian Railways.

Sramana Mitra: When you got Indian Railways, did you still have your job?

Ankush Sabharwal: In one of the companies I worked in, the founder offered to invest in my company so I could continue to work in his company. I tried for some time but said no. I needed to concentrate full-time. He actually gave me funds.

Sramana Mitra: How much did he invest?

Ankush Sabharwal: Only a small amount. He was not an investor. He said that I should just take it and give him the interest. When I paid, he said not to worry about the interest. He actually helped me with the amount.

Sramana Mitra: That's wonderful.

Ankush Sabharwal: Still I could not manage my expenses. I joined my old company Altisource. From Altisource, I moved to Digital Hardware.

Sramana Mitra: You were working at Ultisource when you negotiated with Indian Railways?

Ankush Sabharwal: Yes. In the appraisal cycle when I was about to quit the company, I got the highest rating. I was Group Manager that time. When you're the manager's manager, you hardly get the highest rating in appraisals.

Sramana Mitra: You managed to maintain quality of work while you were bootstrapping your other company. There is a particular question I'm asking. When you negotiated with Indian Railways to implement CoRover, did you still have the job?

Ankush Sabharwal: Yes, I had the job.

Sramana Mitra: How much of the product was ready?

Ankush Sabharwal: The product was in its nascent stage.

Sramana Mitra: How did you win the Indian Railways deal?

Ankush Sabharwal: Many companies reached out to them. When people were saying that it would take them six months to one year to create the virtual assistants, we went with a ready product. Even from that time, it took around one to one and a half years to go live. We surprised them when we went to them to talk about our company. We also said we will not charge. I was not so keen at that time to make money.

Sramana Mitra: It was not ready for primetime.

Ankush Sabharwal: Correct. Now consumers and companies are very liberal and they're okay for their VA's to be wrong. Earlier it wasn't the case. If we give wrong answer, people will take the screenshot and go to Twitter. Lots of companies have apprehensions. We never gave the answer. You ask a question. We will give you most appropriate related questions. You click on those questions and get the answer. Even if you were 99% sure, we were not giving the answer.

A user would ask if they can carry a pet in the train. We will not give the answer. We say, "Do you mean you want to know the process of carrying a pet in the Indian Railways?" The user will say yes and then we show the answer.

Sramana Mitra: Who is building this technology? Were you building the technology?

Ankush Sabharwal: We had a lot of friends who contributed. We had outsourced to a small company. I was not full-time and we didn't have a full-time team.

Sramana Mitra: There are other founders involved.

Ankush Sabharwal: Yes.

Sramana Mitra: They were full-time?

Ankush Sabharwal: None of us was full-time.

Sramana Mitra: This is a good point. We have companies where there are five founders and everybody is doing it part-time. One of them was asking me the other day about my guidance of how to transition to a full-time team. I said one by one. Not all need to quit their day jobs at once. At what point did Indian Railways pay you?

Ankush Sabharwal: We told them not to pay us. We gave it to them for free. We created four phases in the journey of our company to achieve our vision. Phase one was our product would be ready when we have a hundred million users. AI platforms are not just a set of algorithms. The data is very important. Engineers and students are very smart. People can create algorithms overnight. Sometimes you see that the better algorithms are open source.

Data is required. Even if you gave them free forever, that would have been fine because we would make our platform better and get good PR. IRCTC asked us how we will make money. We said we'll do ads. They were okay with that. They wanted to share that revenue also. They're also making money with our virtual assistant because we were monetizing with ads.

Sramana Mitra: You Google AdSense into the application?

Ankush Sabharwal: Kind of. Then we partnered with many other ad providers. We did music and games. We were not getting subscription fees so we were finding ways to get services to the users alongside making revenues. We were sharing a major portion of our revenue with our client.

Sramana Mitra: How much money did you make this way – from advertising?

Ankush Sabharwal: It's more money than we would have made through subscription.

Sramana Mitra: Really?

Ankush Sabharwal: There are four million users on the website and more in the app every day.

Sramana Mitra: Traffic volume was very large. You just created a way to monetize that traffic for both of you.

Ankush Sabharwal: Yes.

Sramana Mitra: Very interesting strategy. The monetization then started fairly early.

Ankush Sabharwal: It took around two to two and a half years to convert IRCTC.

Sramana Mitra: How did you survive for two and a half years? Everybody was working part-time?

Ankush Sabharwal: That's correct.

Sramana Mitra: This would not have happened if you didn't believe in bootstrapping with a paycheck.

Ankush Sabharwal: Absolutely.

Sramana Mitra: For about two years, you worked with Indian Railways. You start this advertising-supported business model. We are now in 2018?

Ankush Sabharwal: Yes.

Sramana Mitra: What happens next?

Ankush Sabharwal: We were all over media as soon as we went live with IRCTC. There are more travelers than seats. There's a lot of people. 90% of those users would hit the system around 10 o'clock when they open the new tickets. Handling that much load is a huge thing. We were very new in handling the security and performance. When we went live, that was the first virtual assistant that any PSU organization had at that scale. There were banks using but not at that scale. We started getting a lot of inbound leads and legal notices as well.

Sramana Mitra: Why?

Ankush Sabharwal: It was from Land Rover saying you're using CoRover.

Sramana Mitra: Brand stuff.

Ankush Sabharwal: Fortunately, we were good in legal. We applied for the trademark early. It was already registered.

Sramana Mitra: You were getting all these inbound leads. Was there a segment where the leads were coming from?

Ankush Sabharwal: All types.

Sramana Mitra: B2C?

Ankush Sabharwal: Purely B2C.

Sramana Mitra: Which ones have become good customers? Did you turn this into SaaS?

Ankush Sabharwal: We never told anyone we run ads.

Sramana Mitra: You positioned as a SaaS company.

Ankush Sabharwal: Yes, we have only three clients on an ad model. 99% of our customers are inbound. What happens next is COVID came. Our revenue became zero. No ad revenue. The traffic was not there.

Sramana Mitra: By the time COVID came, you had other customers?

Ankush Sabharwal: Just that time. We got inbound – NPCI. They're the ones who create UPI. That was inbound. We are live with around 70 banks now.

Sramana Mitra: You're big in the banking sector.

Ankush Sabharwal: Yes. We have more clients in BFSI.

Sramana Mitra: How big is the team and how did you build the team? Is it all in Bangalore?

Ankush Sabharwal: Bangalore and Delhi. I'm in Bangalore. During COVID, we had people working from home and they continue to work from home.

Sramana Mitra: How many people?

Ankush Sabharwal: Around 40 to 45 people.

Sramana Mitra: Your friend gave you some money and gave the money back. What other financing has happened?

Ankush Sabharwal: My two friends who joined as co-founders gave me money. We took angel funding just before IRCTC went live. Then we got funds from Canbank VC. Now we will be announcing a fund raise.

Sramana Mitra: What is the total amount of funding so far?

Ankush Sabharwal: Around a million dollars.

Sramana Mitra: Small amount of funding.

Ankush Sabharwal: Yes.

Sramana Mitra: You are not at \$5 million right?

Ankush Sabharwal: Not yet. We are tech-focused. Now we got a sales guy who joined recently.

Sramana Mitra: I was under the impression this was a \$5 million company.

Ankush Sabharwal: No, our revenue was \$1.4 million last year. We are growing double.

Sramana Mitra: What have you done with generative AI?

Ankush Sabharwal: That's a very interesting space. We are going to launch our own generative AI offering soon. We are doing the grounded version of generative AI. The other popular generative AI companies are good in giving general content and answers.

Since we are more of an enterprise-focused company, we are working with one of the top banks in India. Yesterday, we completed the project. There is one process and the process gets amended every day. They are getting emails from regulators saying, "This clause has changed." They add all this content in our generative AI. The answer comes from the content of our client.

Sramana Mitra: It's domain-specific generative AI. Have you used a core NLM for this?

Ankush Sabharwal: We have taken open source. The success of open AI and ChatGPT is not the technology. The technology is open source. The success is with the data.

Sramana Mitra: Absolutely. Which technology are you using?

Ankush Sabharwal: We are using multiple open-source models. Different models are good at different things. The good thing is we have taken the open source, finetuned it, and added our own parameters. It's hosted in India. In India, the Data Protection Bill is coming. All these other platforms are not in India. They're not even close to India.

Sramana Mitra: What timeline do you have in which you're going to hit the \$5 million revenue mark?

Ankush Sabharwal: Next three years.

Sramana Mitra: It will take you three years to get to \$5 million.

Ankush Sabharwal: More. I think we'll be around \$12 million. We've got around 450 inbound leads. We are very popular in this space.

Sramana Mitra: 450 inbound leads from enterprise customers. What is your average deal size? If you execute on these leads, you can easily get to \$5 million.

Ankush Sabharwal: Currently we are enterprise-focused. We work only with the large enterprises. When I said 450, they're not all very large. A few of them think it's free or inexpensive.

Sramana Mitra: You're saying that 450 leads are not all good leads and only a small portion will turn into revenues.

Ankush Sabharwal: Yes. We are also now going to launch the self-service platform.

Sramana Mitra: Great. Thank you for your time.